

Photograph by GIREESH UV and Graphic by RAM



in social spending in the 11th Plan. But this wouldn't have been possible if India hadn't scaled another numerical peak. For the third successive year, tax collections—now over Rs 5,00,000 crore—have grown at 40 per cent. What is more significant is that for the first time, direct taxes will cross Rs 3,00,000 crore. This means the consumption information system is finally kicking in and bringing evading spenders into the net.

Of course, the big numbers are being driven by private enterprise. Indian corporates have set and broken new records. For over 19 quarters—nearly five years—corporates have sustained 30-plus per cent rise in profits fuelling the biggest Bull Run ever in Indian stocks. In just one year, the BSE Sensex rose from 14,000 to 20,000, adding 6,000 points in 249 trading sessions. The fact that it took the Sensex five years to move from 5,000 to 10,000 may help put the altitude in perspective. Not surprisingly, foreign investors, who see Indian stocks as the best paper to invest in, have pumped in \$17 billion. Private equity players, sharks in any market, doubled their investments in India to an astounding \$17 billion in 2007. Investor wealth doubled at 101 per cent as market capitalisation touched Rs 71,87,729 crore on December 31. No wonder, 48 Indians with wealth of over \$1 billion are on the *Forbes* billionaire list, up from 23 last year. Foreign direct investment (FDI) nearly doubled from \$16 billion last year to an estimated \$31 billion. Indian companies invested \$32.73 billion in 240 companies abroad. The numbers keep rolling...

However, 2007 didn't get the best start, almost like the openers in the Team India. The David of growth was pitted against a Goliath called inflation. High food prices fuelled the index of inflation. Adding to the pressure were high inflows from FDI, rising FDI and private equity, besides the record levels of remittance. This propelled the rupee higher, making the dollar cheaper by 15 per cent, the highest appreciation in any year. It was a yin and yang situation as the rising rupee helped check petro price inflation with crude prices touching \$99 but hit exporters who lost orders and had to shed jobs. It was a tough act to balance as



GROWTH MANTRA



SIRPA DAS

With a correct set of policies and effort, we may be able to raise growth to 10 per cent.

MANMOHAN SINGH
PRIME MINISTER

It has been a good year for the economy. The year will return a rate of growth of 9 per cent.

P. CHIDAMBARAM
FINANCE MINISTER

There is need for a change in mindset. We can raise the income of the farmer manifold.

MUKESH AMBANI
CHAIRMAN, RELIANCE GROUP